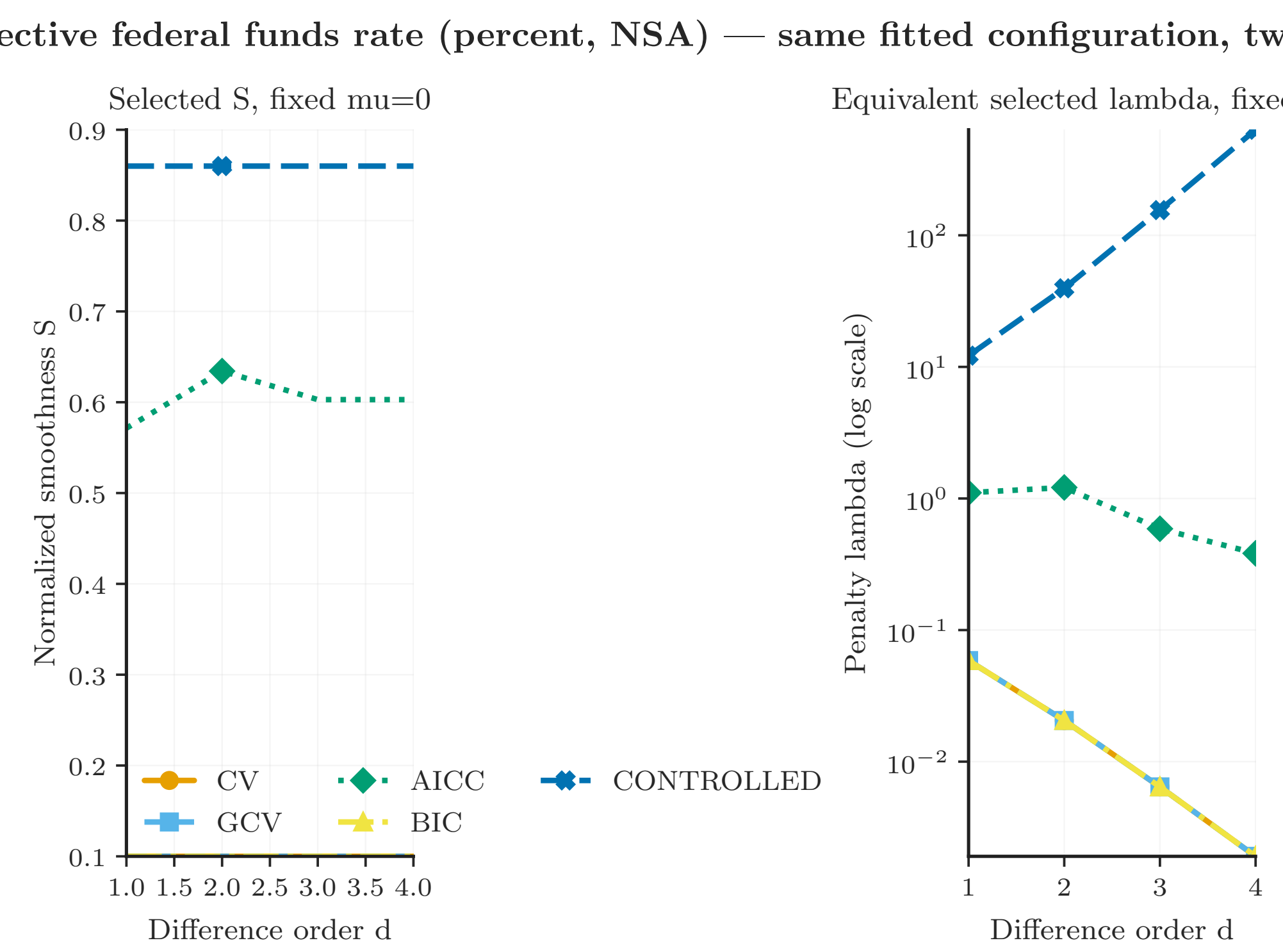

ective federal funds rate (percent, NSA) — same fitted configuration, tw
Selected S, fixed mu=0
Equivalent selected lambda, fixe
Normalized smoothness S
0.9
0.8
0.7
0.6
0.5
0.4
0.3
0.2
0.1
CV
GCV
AICC
BIC
CONTROLLED
1.0 1.5 2.0 2.5 3.0 3.5 4.0
Difference order d
Penalty lambda (log scale)
10^2
10^1
10^0
10^{-1}
10^{-2}
1
2
3
4
Difference order d